Syllabus Edition
First teaching 2025
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Legal Controls Over Employment Issues

Exam code: 0450, 0986 & 0264, 0774

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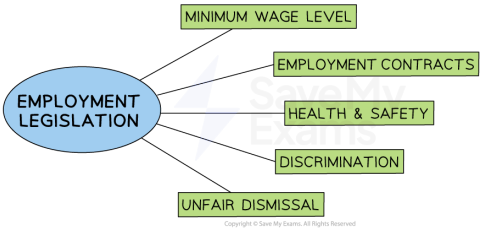
Introduction to legal controls

- Legislation refers to **laws and regulations** passed by governments that require businesses to conduct their behaviour in a particular manner
- Many countries have **passed laws** that determine the required behaviour of employers towards their workers

Legal controls over business



Employment legislation helps to reduce worker exploitation and unfair dismissal from the workplace

Unfair dismissal

- **Dismissal** takes place when an employer **ends an employee's contract of employment with the business**
- **Dismissal can be fair** for a number of reasons
  - The job no longer exists, which means the employee is made **redundant**
  - An employee cannot do the job properly, e.g., they may **lack the right skills**
  - Long-term **illness**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

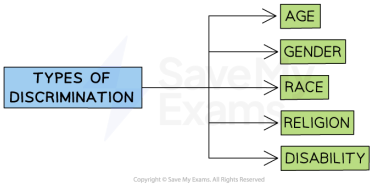
Help me understand

- **Unfair dismissal** is when an employee of a business has their **employment terminated without a valid reason** or against **government legislation**
  - Reasons for unfair dismissal include **discrimination** or avoidance of paying compensation for **redundancies**
- In cases where there is unfair dismissal, the worker may take his/her **complaint** to a court called an **industrial tribunal** to decide whether there is a case to answer
  - If the independent tribunal finds that the worker was **wrongfully dismissed,** then the worker receives **compensation** and their job is offered back to them

Discrimination

- **Discrimination** at work occurs when the employer treats employees with protected characteristics such as gender or race less favourably than one without these characteristics
  - In many countries, **discrimination** based on these characteristics is **illegal**

The main forms of discrimination



Laws are in place to protect workers from discrimination based on gender, age, race, disability and religion

- Employees who are victims of discrimination in the workplace can take **legal action against the employer**
  - **Trade unions** often support employees with legal claims against employers and **provide legal advice and support**
- Businesses can **miss out on recruiting the best applicant** if recruitment policies are discriminatory
- **Reputational damage** may result if a business is found to have discriminated against employees

Health and safety

- Health and safety legislation requires businesses to operate in a way that protects the **physical and mental well-being** of its employees, **contractors** and customers
- Health and safety legislation covers areas including
  - The provision of **adequate breaks and rest periods**
  - Temperature and noise levels
  - The provision of safety equipment

to maintain healthy working conditions are likely to **incur financial and time costs, such as**
  - Staff **training** and supervision
  - Changes to **working hours** and rest provisions
  - Arrangement of manuals, signage and safety **documentation**
  - Purchase and maintenance of safety **equipment**
  - Drawing up and implementing a **code of practice**
- Serious health and safety breaches can lead to **fines** or **investigations by the Health and Safety Executive** and, in some cases, **prison sentences**

Legal minimum wage

- A **national minimum wage (NMW)** is a **legally imposed wage level** that employers must pay their workers
  - It is set **above** the market rate of pay
  - In some countries, the minimum wage **varies by age**
  - A minimum wage makes it illegal for an employer to pay an hourly rate below the minimum wage set

The impact of a legal minimum wage

On employers	On employees
• Implementation and periodic increases of a minimum wage increase **variable costs** as all workers must be paid the minimum legal limit • Employers may **invest more in training unskilled workers** as they are being paid a higher wage • Skilled workers who are receiving slightly more than the NMW may **demand higher pay** to maintain their **wage differential**	• Low-paid workers' earnings are increased and their **living standards** are likely to improve as a result • **Reduces exploitation of workers,** as without a minimum wage powerful businesses can legally pay their workers very poorly • Acts as an **incentive to enter the workforce** due to the attractiveness of higher pay

- Businesses in some countries are free to **pay their workers very low wages,** leading to much **lower business costs**
- Businesses are often questioned about this decision, as it compromises **business ethics**

Effects of legal controls over employment issues on employers and employees

- For employees, understanding their legal rights can help them feel more confident and supported in their jobs

Impact on employers

- **Increased responsibilities**
  - Employers must follow legal rules when hiring, managing and dismissing staff
  - This includes giving written contracts, fair pay and safe working conditions.
- **Extra costs**
  - Legal controls may lead to higher costs, such as paying minimum wage, providing sick leave or making workplaces safe
- **Avoiding legal trouble**
  - By following the law, employers reduce the risk of being taken to court by employees, which could damage their reputation and finances
- **Improved staff relations**
  - Fair treatment and clear policies can lead to better motivation and lower staff turnover, saving money in the long term

Impact on employees

- **Greater protection**
  - Employees are protected from unfair treatment, such as being dismissed without reason or being underpaid
- **Safer working environment**
  - Legal controls help ensure that workplaces are safe and that employees are properly trained to avoid accidents
- **More job security**
  - Employees are less likely to lose their jobs unfairly or face discrimination, which gives them more confidence at work
- **Better working conditions**
  - Laws encourage fair pay, rest breaks, equal treatment and protection from bullying or harassment

Examiner Tips and Tricks

Always link legal controls (like unfair dismissal or minimum wage) to their **impact on both employers and employees** – examiners look for this two-sided analysis

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